

aged investors to shift to gold.

“Silver’s fundamentals remain strong primarily due to the forecast of a deficit for the fifth consecutive year,” Mathur says. According to The Silver Institute, global silver demand is expected to remain broadly stable at 1.20 billion ounces this year. The supply is forecast to grow by 3% to an 11-year high of 1.05 billion ounces.

FIXED INCOME

Debt funds also beat Indian equity markets in FY25. Long duration debt funds have returned more than 9% on an average in the past one year on expectation of rate cuts. Medium-to-long duration funds and short duration funds have delivered 8.32% and 7.83%, respectively, as per Value Research. On April 9, the Reserve Bank of India (RBI) cut the repo rate by 25 basis points, after a similar reduction in February, to counter the economic slowdown.

Market watchers expect at least 50 basis points interest rate cut in FY26, which may further boost fixed income instruments. Mittal of Tata Asset Management says “long duration bonds and longer duration debt funds are better choices in a declining [interest rate] cycle as compared to shorter duration funds. There might be some volatility during the cusp period, but if investors can withstand that and have a long horizon, they should look at longer duration debt funds.” Rahul Singh, Senior Fund Manager-Fixed Income, LIC Mutual Fund Asset Management, also foresees 50-75 basis points rate cut in the next financial year.

Anurag Mittal, Head-Fixed Income, UTI AMC, expects 50 basis points cut in this monetary cycle

as he expects FY26 growth to moderate at still resilient levels of 6-6.5%. “Investors can consider locking in yields at these levels to benefit from higher accrual and possibility of capital gains, especially in sovereign and high credit quality corporate bond portfolios,” he says.

Data from the Association of Mutual Funds in India shows debt funds saw a net inflow of ₹3.41 lakh crore in FY25 till February as against an outflow of ₹23,097 crore in FY24; equity funds received an inflow of ₹3.22 lakh crore. The core aim of debt funds is providing stability, predictability, liquidity and diversification to

aggregate equity returns exceeding that this year on a top-down basis. Precious metals also look attractive at this point of time.”

REAL ESTATE

When the stock market is unpredictable, investors usually start zeroing in on something steadier—like real estate. Unlike equities, which can swing wildly on economic trends and global events, real estate prices move more gradually, making it a lower-risk, long-term play.

However, ANAROCK data shows that housing sales dipped 11.5% QoQ during January-

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the portfolio as they usually have a negative correlation with equities.

Even short-duration debt funds seem attractive given the expected slide in interest rates. “Given interest rate uncertainties, dynamic bond funds, short-duration funds and arbitrage funds can balance the risk of volatility,” says Rajul Kothari, Partner, Capital League.

Sharma of GQuant says he has moved 50% of his liquid global capital into fixed income, which gives him a guaranteed 10% return in dollar terms. “I do not see ag-

March 2025 in the top seven cities, where around 90,330 units were sold, in sharp contrast to 1,02,083 units in Q4 2024. “Investor interest has been rising in recent years with many looking at real estate as an attractive asset class. However, ongoing economic and geopolitical uncertainties have made investors adopt an optimistic-yet-cautious stance,” says Anupam Rastogi, Co-Founder and Chief Business Officer, Square Yards, a real estate consultancy.